NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH
(Video Conference)

PRESENT: JUSTICE TELAPROLU RAJANI – MEMBER JUDICIAL

ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 07.02.2023 AT 10.30 AM

TC/CP. Nos.	CA/IA No.	Section/ Rule	Name of Parties
CP(CAA)No.6/230/AMR/2022		230	MG Metallic Springs Private Limited (Demerged Company) MG Metallic Engineering Solutions Private Limited (Transferee Company)

ORDER

Mr. Perikal K. Arjun, Counsel for the Petitioner Companies present. CP(CAA)No.6/230/AMR/2022 is allowed, vide separate orders.

Sd/-
JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

RSN

NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH AT MANGALAGIRI

CP (CAA) No.6/230/AMR/2022
Connected with
CA (CAA) No.7/230/AMR/2021

In the matter of Section 230 to 232 of the Companies Act, 2013
AND
In the matter of Scheme of Arrangement of between **MG METALLIC SPRINGS PRIVATE LIMITED,** the Demerged Company (having its registered office In Andhra Pradesh) and **MG METALLIC ENGINEERING SOLUTIONS PRIVATE LIMITED**, the Transferee Company (having its registered office in Andhra Pradesh)

In the matter of

MG Metallic Springs Private Limited
having its Registered Office at
D.No.4-3-152, Bellary Road,
Anantapur, Andhra Pradesh – 515004.

... Petitioner No.1/Demerged Company

MG Metallic Engineering Solutions Private Limited
having its Registered Office at
D.No.4-3-152, Bellary Road,
Premises of M.G. Brothers, Anantapur,
Andhra Pradesh – 515004.

... Petitioner No.2/Transferee Company

Date of pronouncement of order: 07.02.2023

CORAM

Justice Telaprolu Rajani, Member Judicial

Appearance:

For the Petitioners: Mr. Perikal K.Arjuan, Advocate

Per: Justice Telaprolu Rajani, Member (Judicial)

ORDER

1. The present Company Petition is filed by M/s. MG Metallic Springs Private Limited, Petitioner No.1/Demerged Company and M/s. MG Metallic Engineering Solutions Private Limited, Petitioner No.2/Resulting Company under Sections 230 & 232 of the Companies Act, 2013 seeking to permit the Demerged Company for Scheme of Arrangement (the Scheme for short) with the Resulting Company. All the Petitioner Companies registered offices are situated at Andhra Pradesh.

2. Briefly the facts are as follows:

   i. The Authorised Share Capital of the Petitioner No.1/Demerged Company as on 31.12.2021, was Rs.1,00,00,000/-, divided into 1,00,000 equity shares of Rs.100/- each. The issued, subscribed and paid-up equity share capital is Rs.43,20,000/- divided into 43,200 equity shares of Rs.100/- each. The main objects of the Company are to carry on the business of manufacturing Metallic springs of all varieties including helical springs, valve springs, leaf springs, tension springs, torsion springs, wire forms, flat springs, spring rings, spring washers required for the industries

like aircraft, automobile, railways, stationary engines, etc., communication equipment, electrical, electronics, business machines, precision instruments, watch and clock industries, agricultural machinery, defence industry, textile machinery etc..

ii. The Authorised Share Capital of the Petitioner No.2/Resulting Company as on 31.12.2021 was Rs.10,00,000/-, divided into 1,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid-up equity share capital is Rs.10,000/- divided into 1,000 equity shares of Rs.10/- each. The main objects of the Company are to carry on the business of manufacturing of assemblers, importers, exporters, repairs, distributors, merchants and dealers of stabilizers, bars and springs of all varieties having application to automobile and allied industries and to carry on the consultancy services related to it.

iii. According to the Petitioner Companies, the Scheme of Arrangement (Demerger) of Petitioner Companies is in pursuance to the family arrangement between the promoters of the Petitioner Companies and their respective shareholders and would facilitate in greater visibility on the performance of the demerged business, the employees, management, administration, capital and borrowings required for the Auto-Sector Undertaking. Remaining Undertaking being divergent, demerging the entities

would enhance value to all stakeholders, management of the Demerged Company can focus on development of remaining assets of the Demerged Company and the Transferee Company will be able to exploit the full and efficient functioning of the Auto Sector Undertaking and focused management and resource allocation to each of the Petitioner Company to enhance the operation efficiency of the demerged entity as well as the transferee entity.

iv. The Board of Directors of the Petitioner Company approved the scheme in their respective Board Meetings held on 02.05.2022, 30.03.2021 and 29.03.2021. The appointed date is 01.04.2022. Consent, by way of Affidavit and No Objection to the Scheme supported by Board, was also obtained from the Equity Shareholders of the 2nd Petitioner Company.

v. The Tribunal, by order dated 02.11.2021 directed the Petitioner Companies to dispense with the meetings of the Equity Shareholders and Unsecured Creditor of the Petitioner Companies and directed the statutory authorities to file their representations, if any.

vi. The Petitioner No.1/Demerged Company, its investment in shares of company forming part of the Auto Sector Undertaking, i.e., Stump Schuele Somappa Private Limited (3S) is currently

part of another Scheme of Arrangement between 3S and 3S Engineering Services Private Limited for Demerger, which is pending vide Company Application bearing No.CA(CAA) No.39/BB/2021 before the Hon'ble NCLT, Bengaluru Bench. As part of the Petition filed by 3S before the NCLT Bengaluru Bench, the demerged undertaking is an Auto Sector undertaking and the shares that would be allotted pursuant to the demerger would be shares in 3S Engineering Services Private Limited. The aforesaid shares are also pertaining to the Auto Sector and hence these shares shall also from part of the Auto Sector Undertaking.

3. Heard the Learned Counsel appearing for the Petitioner, RD and OL and perused the records.

4. The Official Liquidator (OL) filed report dated 17.08.2022 stating that as per directions of this Tribunal, the Counsel for the Petitioner Companies has served a copy of the Company Petition to the OL on 30.06.2022. Hence, the OL vide letter dated 04.07.2022 called for the information from the Petitioner Companies. In response to that the counsel for the Petitioner Companies replied vide email stating that the OL has no role to play in the Scheme of Arrangement involving demergers and hence report of the OL would not be required.

5. The Regional Director (RD) filed his reports dated 05.12.2022 & 17.01.2023 and raised the following objections and the Petitioner Companies replied to the same as detailed below:

S.No.	RD's Observations	Reply of the Petitioner Companies by way of affidavit dated **21.12.2022 & 02.02.2023**
1	In the present Scheme of Demerger, the demerger company has 29872 equity shares of Rs.100/- i.e., 11.20% of the total equity of Stump Schuele Somappa Pvt Ltd. In this regard, the Petitioner Companies may be advised to furnish detailed clarification with regard to the investment made by the demerged company in Stump Schuele Somappa Pvt Ltd and the number of shares to be allotted against such investment pertaining to auto sector be furnished in view of	<u>Reply given by the Petitioner Company on 02.02.2023:</u> The investment of the 1st Petitioner in Stumpp Schuele Somappa Private Limited ("3S"), is recorded in the books of account of the 1st Petitioner at Rs.1,46,31,400/- as on 28.02.2022. Apportionment for the above investment in "Auto Sector Undertaking" is Rs.83,36,433/- and towards Real Estate is Rs.62,94,967/-. 3S also is part of another demerger

	the ongoing pending scheme before the NCLT Bangalore along with the details pertaining to the approval of the scheme.	process which involves demerger of the identified 'demerged undertaking' pertaining to Auto Sector in 3S, into Stump Sheule Somappa Engineering Services Pvt Ltd ("3SES"), which is pending before the NCLT, Bangalore. Presently, the scheme has been reserved for orders. As per the Scheme of Demerger between 3S and 3SES, upon the demerger becoming effective from the effective date, and the transfers being effected in the manner specified in the scheme subject to necessary approvals, if any and in consideration for the demerger of Auto Sector Undertaking of 3S to 3SES, 3 SES shall issue and allot

		new equity shares to the shareholders of 3S, in the following manner – "*To the equity shareholders of 3S on the record date :- 1(one) new equity shares in 3SES for every 1(one) equity share held in 3S* ". The 1st Petitioner shall be entitled to receive 29,782 equity shares of Rs.10/- each in 3SES.
2	Further, the demerged company may be directed to furnish detailed list of assets and liabilities pertaining to the Auto Sector Undertaking duly certified by the Chartered Accountant	Reply given by the Petitioner Company on 02.02.2023: The company submitted the Certificate of the Chartered Accountant certifying the list of assets and liabilities of the 1st Petitioner pertaining to the Auto Sector Undertaking.

3	The Directorate has received letter dated 30.08.2022 from the ROC, Andhra Pradesh by pointing out certain observations as under:-	Undertaking given by the Petitioner Company on 21.12.2022:
	a) The Regional Director (RD) sought this Tribunal to direct the Petitioner Company to preserve its books of accounts and papers and records and shall not be disposed of without the prior permission of the Central Government in terms of Section 239 of the Companies Act, 2013.	a. To preserve the books of accounts, papers and records of the Petitioner Companies and shall not dispose the same without the prior permission of the Central Government in terms of Section 239 of the Companies Act, 2013.
	b) The Regional Director (RD) sought this Tribunal to direct the Petitioner Company to ensure statutory compliance of all	b. To comply with all the statutory compliances and will further undertake to discharge the statutory liabilities, if any upon the

	applicable laws and also on sanctioning of the present scheme the applicant company shall not be absolved for any of its statutory liability in any manner.	sanctioning of the scheme.
	c) The Regional Director (RD) sought this Tribunal to direct the Petitioner Companies, involved in the scheme to comply with Rule 17(2) of Companies (Compromise, Arrangement and Amalgamation) Rules, 2013 with respect to filing of order for confirmation of scheme to be filed in Form No.INC-28 with the concerned office of RoC	c. To comply with Rule 17(2) of Companies (Compromise, Arrangement and Amalgamation) Rules, 2013 with respect to filing of order for confirmation of scheme to be filed in Form No.INC-28 with the concerned office of RoC, Vijayawada.

	by the Petitioner Company.	
4	The Regional Director (RD) sought this Tribunal to direct the Petitioner Companies to furnish an undertaking that, if any demand arises in future with respect to Petitioner Companies will pay such dues to the Income Tax Authorities as per law.	To comply with and make payments towards all statutory dues, as applicable, including income tax, as and when demanded by the Income Tax Authority subject to the right to appeal and legal remedies available.
5.	The Regional Director (RD) sought this Tribunal to direct the Petitioner Companies to furnish an undertaking with regard to compliance of the provisions of Sec.188 of the Companies Act, 2013.	To comply with the provisions of Section 188 of the Companies Act, 2013.

6. Considering the entire facts and circumstances of the case and on perusal of the Scheme, reports of the Regional Director, Official Liquidator, and reply/undertakings of the Petitioner Companies thereon and the documents produced on record, the Scheme of Arrangement appears to be fair and reasonable and is not contrary to

public policy and not in violation of any provisions of law. All the statutory compliances have been made under Section 230 to 232 of the Companies Act, 2013.

7. The Company Petition is allowed with the following directions:-

a) The Scheme of Arrangement (Copy of the Scheme enclosed at Page No.31 to 46 of the Amended Application) is hereby sanctioned and it is declared that the same shall be binding on the Petitioner Companies and their respective Shareholders and Creditors, Employees and all concerned under the Scheme.

b) The Scheme shall become effective from the Appointed Date i.e., 01.04.2022 and shall be made operational from the date of filing of the orders with the Registrar of Companies.

c) While approving the Scheme as above, it is further clarified that this order will not be construed as on order granting exemption from payment of stamp duty or taxes or any other charges, if payable, as per the relevant provisions of law or from any applicable permissions that may have to be obtained or, even compliances that may have to be made as per the mandate of law.

d) The Petitioner Companies are directed to preserve their books of accounts and papers and records and not to dispose of without the

prior permission of the Central Government in terms of provisions of Section 239 of the Companies Act, 2013.

e) All concerned authorities to act on a copy of this order along with the Scheme duly authenticated by the Registrar of this Tribunal. The Registrar of this Tribunal shall issue the certified copy of this order along with the Scheme immediately.

f) The Petitioner Companies are directed to take appropriate steps to submit the said Scheme to Registrar of Companies within 30 days from the date of receipt of copy of this order.

g) The Petitioner Companies are directed to issue newspaper publication with respect to approval of Scheme of Arrangement, in the same newspaper in which previous publications were issued in order to ensure transparency/dissemination of complete information to all concerned parties about the approval granted by the Tribunal for the Scheme as proposed.

h) The Petitioner Companies are further directed to take all consequential and statutory steps required in pursuance of the approved Scheme of Arrangement under the provisions of the Act.

i) The Petitioner Companies are also directed to strictly comply with all the Undertakings given by them including those with

regard to payment of due taxes and other statutory dues as mentioned in foregoing paragraphs of this order.

j) The Petitioner Companies are directed to strictly adhere to the above directions and applicable provisions of the Companies Act.

8. Accordingly, the Scheme stands sanctioned and the Company Petition bearing CP (CAA) No.6/230/AMR/2022 stands disposed of.

Sd/- Dated 07.02.2023

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

Swamy Naidu